



Time: 5 minutes

Outcome: Analyze Comparative Advantage and Gains from Trade.

Difficulty: Beginner

Comparative Advantage and Gains from Trade

THE CORE IDEA

Comparative advantage belongs to the producer with the lower opportunity cost, even when another producer has an absolute advantage in both goods. Compute the forgone alternative per unit, then select the lower opportunity cost. Specialization creates potential output gains; the trading terms determine whether both sides gain. Use opportunity cost and net benefits to evaluate specialization and exchange. Different opportunity costs create room for specialization and mutually beneficial exchange.

HOW TO RECOGNIZE IT

- Use opportunity cost and net benefits to evaluate specialization and exchange.
- Different opportunity costs create room for specialization and mutually beneficial exchange.
- One lamp costs Ari 2 rugs and costs Bea 6 rugs.
- One producer is more productive in both goods.
- Two firms specialize and create 40 extra units of combined output.

WATCH OUT

A common mistake is to choose the producer with the greatest absolute output. Comparative advantage depends on lower opportunity cost, and a mutually beneficial terms-of-trade ratio lies between the two opportunity costs.

WORKED EXAMPLE: FINDING COMPARATIVE ADVANTAGE

Production possibilities and opportunity costs

	Max lamps	Max rugs	Cost of 1 lamp	Cost of 1 rug
Ari	12	24	2 rugs	1/2 lamp
Bea	10	60	6 rugs	1/6 lamp

Ari gives up $24/12 = 2$ rugs per lamp; Bea gives up $60/10 = 6$ rugs per lamp. Ari has comparative advantage in lamps. For rugs, Bea gives up $1/6$ lamp, below Ari's $1/2$ lamp. A trade of one lamp for four rugs lies between the two lamp costs, so both can gain from specializing and exchanging.

CHECK YOURSELF

If 1 X costs 2 Y, what is the cost of 1 Y?